Module 11
Financial Reporting

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer 1(a)

REPORT

Introduction

The sales channel and marketing activities of Bluebonnet, our newly acquired subsidiary, are different from those adopted by Amber. This report highlights the relevant accounting issues in Bluebonnet relating to the timing of revenue recognition and the payment to Mr Chad Lee for the promotion of its brand (which is commonly known as celebrity sponsorship in practice).

1. Revenue Recognition Through Different Sales Channels

Under HKFRS 15 *Revenue from Contracts with Customers*, an entity only recognises revenue when it satisfies an identified performance obligation by transferring a promised good or service to a customer.

A good or service is generally considered to be transferred when the customer obtains control. HKFRS 15 states that control of an asset refers to the ability to direct the use of and obtain substantially all of the remaining benefits from the asset. In other words, control means the ability to prevent others from directing the use of, and receiving the benefit from, a good or service.

HKFRS 15 requires an entity to determine, at contract inception, whether it will transfer control of a promised good or service over time. If an entity does not satisfy a performance obligation over time, the performance obligation is satisfied at a point in time.

In order to assess whether control transfers over time rather than at a point in time, HKFRS 15 states that an entity has to fulfil one of the following criteria:

- the customer simultaneously receives and consumes the benefits provided by the entity's performance as the entity performs;
- the entity's performance creates or enhances an asset that the customer controls as the asset is created or enhanced; or
- the entity's performance does not create an asset with an alternative use to the entity, and the entity has an enforceable right to payment for performance completed to date.

The situation is quite straightforward in Bluebonnet's case for selling sportswear. None of the criteria for recognising revenue over time is fulfilled, and therefore revenue generated through the two channels is to be recognised at a point in time.

1.1 Online sales through the Website

HKFRS 15 provides a list of indicators that help determine the point in time when a customer obtains control of a particular good or service:

- the entity has a present right to payment for the asset;
- the customer has legal title to the asset;
- the entity has transferred physical possession of the asset;
- the customer has the significant risks and rewards of ownership of the asset; and
- the customer has accepted the asset.

Applying the above indicators to Bluebonnet's case, although a customer has already paid for the sportswear at the time of placing the order on the Website, he/she does not have the ability to direct the use of the product until it has been received, and he/she has not physically possessed/accepted the product until it has been received. To conclude, control is only transferred when the products have been delivered to the customer, at which point can Bluebonnet recognise revenue generated from the online sales.

1.2 Third-party retail partners

The situation is more complicated in the other sales channel, under which Bluebonnet sells its sportswear through third-party retail partners. HKFRS 15 provides that when an entity delivers a product to another party (such as a dealer or a distributor) for sale to end-customers, the entity has to evaluate whether this qualifies as a consignment arrangement. HKFRS 15 provides indicators that an arrangement is a consignment arrangement. These indicators include:

- the product being controlled by the entity until a specified event occurs, such as the sale of the product to a customer of the dealer or until a specified period expires;
- the entity being able to require the return or transfer of the product to a third party (such as another dealer); and
- the dealer not having an unconditional obligation to pay for the product (although it might be required to pay a deposit).

Applying the above indicators to Bluebonnet's case, control has not been transferred to the third-party retail partners as:

- The retail partners do not have an unconditional obligation to pay for the sportswear until they have been sold to an end-customer. The deposit paid upon delivery of the products does not preclude it from being a consignment arrangement; in particular, the deposit will be netted with the final payment to Bluebonnet.

- Bluebonnet is able to require the sportswear be returned or transferred to another retailer at any time before the retail partner sells them to an end-customer. This further supports that Bluebonnet controls the products until sale of the products to end-customers.

Bluebonnet determines that sales under this channel qualify as consignment arrangements and control of the sportswear transfers when they are sold to an end-customer — that is, when the retail partner has an unconditional obligation to pay Bluebonnet and can no longer return or otherwise transfer the sportswear. Bluebonnet recognises revenue as the sportswear products are sold to the end-customer.

Answer 1(b)

2. Celebrity Sponsorship

HKAS 38 *Intangible Assets* explicitly states that expenditures on advertising and promotional activities must be expensed when an entity receives the service. This, however, does not preclude an entity from recognising a prepayment as an asset when payment for services has been made in advance of the entity receiving those services.

2.1 Signing bonus

The signing bonus of HK$48 million was paid on 1 July 2019. In return, over the three years Chad: (i) cannot represent other brands; and (ii) needs to adhere to the code of conduct. This signing bonus is related to the full three-year contract term. Bluebonnet recognised a prepayment of HK$48 million on 1 July 2019 and should amortise this as an expense on a straight-line basis over the three years (i.e. HK$16 million per year).

In case the contract is terminated prior to the end of the three-year period (e.g. Chad breaches the code of conduct before completion of the contract), any amount not recovered from Chad would be expensed immediately.

2.2 Annual bonus

Chad will receive an annual bonus of HK$10 million at the end of each year on the condition that he has completed the required competition during the year while wearing Bluebonnet's swimwear. On the day that Chad has completed the required competition in a specific year, Bluebonnet has a contractual obligation to deliver cash to Chad and recognises: (i) a financial liability during the year in accordance with HKFRS 9 (2014) *Financial Instruments;* and, at the same time, (ii) promotional and advisement expense in profit or loss. The amount recognised would be at its fair value (for example, the present value of the expected cash flows at the end of the year). Such financial liability would be extinguished on 30 June of the respective year when the payment is made.

2.3 Annual Additional payments of HK$8 million

These payments relate to specific events which depend on the ranking of Chad. These will then be treated as executory contracts and would be expensed upon Chad achieving the stipulated ranking.

Answer 2(a)

Amber entered into a business combination and applied the acquisition method in accordance with HKFRS 3 (Revised) *Business Combinations* to account for this acquisition (specifically, a business combination achieved in stages or via step acquisition) on 1 July 2019, which was determined to be the acquisition date.

Consideration

The consideration transferred should be measured at fair value, which should be calculated as the sum of the acquisition-date fair values of the assets transferred by the acquirer, the liabilities incurred by the acquirer to former owners, the equity interests issued by the acquirer, and contingent consideration. Contingent consideration usually refers to an obligation of the acquirer to transfer additional assets or equity interests to the former owners of an acquiree as part of the exchange for control of the acquiree if specified future events occur or conditions are met. In Amber's case, the potential issue of shares should the profits target be met (the "Additional Shares") is considered a contingent consideration.

The consideration for this business combination is:

	HK$ million
Cash consideration	8,080
Contingent consideration shares	1,300
Total consideration	9,380

Fair value of net identifiable assets of Bluebonnet

HKFRS 3 (Revised) contains general principles on the recognition and measurement of identifiable assets acquired and the liabilities assumed as part of a business combination. The identifiable assets acquired and the liabilities assumed as part of a business combination are recognised separately from goodwill at the date of acquisition, if they:

- meet the definition of assets and liabilities in the *Conceptual Framework*, and
- are exchanged as part of the business combination, instead of as a separate transaction.

These items, in general, are measured at the date of acquisition at their fair values.

As the fair value of the recorded net identifiable assets of Bluebonnet was close to its book value (HK$8,500 million + HK$2,800 million = HK$11,300 million) as at the acquisition date, the critical question is whether the customer database and its content (the "Database") should be recognised in the business combination.

The Database indicates that Bluebonnet has a customer list. HKAS 38 provides a restriction in an entity's separate financial statements from capitalising customer lists and items similar in substance.

In a business combination, an acquirer recognises an acquiree's intangible assets at the acquisition date if they are identifiable. An asset is identifiable if it is either separable or arises from contractual or other legal rights.

An asset is separable if it is capable of being separated or divided from the entity and sold, transferred, licenced, rented, or exchanged, either individually or together with a related contract, identifiable asset, or liability, regardless of whether the entity intends to do so. In other words, exchange transactions evidence separability.

If an intangible asset acquired in a business combination is separable or arises from contractual or other legal rights (i.e. satisfying either of the above criterion), there is a presumption that sufficient information exists to measure reliably the fair value of the asset.

In Amber's case, the Database did not arise from a contractual or legal right. An assessment of its separability was therefore warranted. The Database was generated from the management of the customer information and could be transferred independently of the rest of the business. The actual intention not to transfer the Database did not affect the assessment. As the separability criterion was met, the Database was identifiable, and it should be recognised as an intangible asset in this business combination at its fair value (i.e. HK$750 million).

The recognition of the Database brought, however, another issue under HKAS 12 *Income Taxes* for discussion. HKAS 12 requires the tax effects of the differences between fair values and book values to be accounted for as deferred tax liabilities or deferred tax assets if the basis for taxation does not change with the business combination. As the carrying amount in the business combination refers to the fair value as at the date of acquisition while the tax base refers to such in the entity's separate financial statements, temporary difference arises when there is fair value adjustment in a business combination. Deferred tax assets or liabilities created will then be included as part of the fair value of net identifiable assets acquired.

In Amber's case, the upward fair value adjustments of HK$750 million relating to the recognition of the Database would generate a deferred tax liability of HK$120 million (HK$750 million x 16%) as at the acquisition date, which was recognised as part of the net identifiable assets acquired in the business combination.

The fair value of net identifiable assets of Bluebonnet in this business combination as at 1 July 2019 was HK$11,930 million (HK$11,300 million + HK$750 million database – HK$120 million deferred tax liability).

<u>Non-controlling interest</u>

HKFRS 3 (Revised) provides the acquirer an option to elect on a transaction-by-transaction basis to measure the non-controlling interest either at fair value at the acquisition date or the proportionate interest in the recognised amount of the identifiable net assets of the acquiree if less than 100% of a subsidiary is acquired.

As Amber chose to measure the non-controlling interest in Bluebonnet at the fair value, the amount was measured at HK$2,496 million as at the acquisition date.

Goodwill

Goodwill is recognised in accordance with HKFRS 3 (Revised) as at the acquisition date, measured as a residual. In determining the goodwill in a business combination achieved in stages, the acquirer needs to remeasure the previously-held equity interest in the acquiree to fair value at the date of acquisition, with any resulting gain or loss recognised in profit or loss or other comprehensive income, as appropriate. This effectively considers that any investment in the acquiree that was held before obtaining control is sold and subsequently repurchased at the date of acquisition.

Amber calculated the goodwill in this business combination achieved in stages as follows:

	HK$ million	HK$ million
Consideration		
Cash consideration	8,080	
Contingent consideration shares	1,300	9,380
Add: Fair value of previously-held equity interests		620
Add: Fair value of non-controlling interest		2,496
Total		12,496
Less: Fair value of net identifiable assets		
Book value of net identifiable asset	11,300	
Intangible asset - Database	750	
Deferred tax liability arising from the Database	(120)	(11,930)
Goodwill		566

Goodwill would be separately presented on the consolidated statement of financial position, which is in nature an intangible asset. As Amber chose to measure the non-controlling interest at its fair value, the goodwill calculated above is attributable to both Amber (as the parent entity) and the non-controlling interest at the amounts HK$456 million [(HK$9,380 million + HK$620 million) – HK$11,930 million x 80%] and HK$110 million (HK$2,496 million – HK$11,930 million x 20%), respectively.

Subsequent to the acquisition date (1): Contingent consideration

HKFRS 3 (Revised) provides that, during the measurement period (which should not exceed one year from the acquisition date), the acquirer adjusts retrospectively any provisional amounts recognised at the acquisition date to reflect new information about facts and circumstances that existed as of the acquisition date and, if known, would have affected the measurement of the amounts recognised as of that date.

In Amber's case, whether the condition for the Additional Shares is met or not does not qualify as a measurement period adjustment as meeting the profit target is not a piece of information about facts and circumstances that existed as of the acquisition date. No retrospective adjustment to the total consideration will therefore be necessary in the subsequent periods.

There is, however, another issue arising from the Profit Guarantee. Amber has to determine whether it should account for changes in the fair value of contingent consideration after the date of acquisition, which depends on whether the contingent consideration is classified as equity, as an asset, or as a liability. This decision is in turn based on the definitions of a financial liability and an equity instrument in accordance with HKAS 32 *Financial Instruments: Disclosure and Presentation*. In short, a promise to deliver a fixed number of shares in an entity's own equity instruments as contingent consideration will be classified as equity.

Contingent consideration classified as equity is not remeasured and its subsequent settlement is accounted for within equity, while contingent consideration classified as a liability (and an asset) is subsequently measured to fair value at each reporting date until the contingency is settled, with changes in fair value recognised in profit or loss.

As Amber is going to issue a fixed number of its own shares if the profit target is met, the Profit Guarantee should be classified as an equity. In this connection, the fair value of the Profit Guarantee will not be subsequently remeasured. The fair value of the Profit Guarantee (i.e. HK$1,700 million) at 30 June 2020 is therefore irrelevant.

<u>Subsequent to the acquisition date (2): Amortisation of the Database and related tax effects</u>

Any fair value adjustment as at the acquisition date will be amortised subsequent to the acquisition date as part of the consolidation process. Extra amortisation expense of HK$250 million (HK$750 million ÷ 3) was recognised in the consolidated statement of profit or loss during the year ended 30 June 2020. On top of this, in reversing the deferred tax liability arising from such fair value difference, the Group recognised a decrease in income tax expense of HK$40 million (HK$250 million x 16%) during the year ended 30 June 2020.

<u>Subsequent to the acquisition date (3): Impact to non-controlling interest</u>

In preparing the consolidated financial statements, the acquirer needs to consider the movement of non-controlling interest during the year. The adjustments raised in the above section, together with the profits earned by Bluebonnet during the year ended 30 June 2020, were shared by the non-controlling interest based on the ownership interests with the following net effect:

	HK$ million
Profits of Bluebonnet for the year	1,320
Less: Extra amortisation expense of the Database	(250)
Add: Deferred tax movement	40
Adjusted profits for the year	1,110
	x 20%
Share to non-controlling interest	222

Subsequent to the acquisition date (4): Intra-group transaction – Dividends declaration

In accordance with HKFRS 10 *Consolidated Financial Statements*, consolidated financial statements eliminate in full intragroup assets and liabilities, equity, income, expenses, and cash flows relating to transactions between entities of the Group. In Amber's case, the dividends declared by Bluebonnet (HK$1,000 million) were eliminated against the dividend income recognised by Amber (HK$800 million) with a decrease in the non-controlling interest balance of HK$200 million in the preparation of the consolidated financial statements.

Answer 2(b)

Amber Group
Consolidated statement of changes in equity
For the year ended 30 June 2020

(HK$ million)	Share capital	Retained earnings	Other reserve	Total	Non-controlling interest	Total
Balance, 1 July 2019	7,400	8,200	-	15,600	-	15,600
Acquisition of a subsidiary	-	-	-	-	2,496	2,496
Contingent consideration	-	-	1,300	1,300	-	1,300
Profits for the year	-	2,088 (Note)	-	2,088	222	2,310
Dividends	-	(1,200)	-	(1,200)	(200)	(1,400)
Balance, 30 June 2020	7,400	9,088	1,300	17,788	2,518	20,306

Note:

	HK$ million
Profits of Amber for the year	2,000
Less: Dividend income eliminated	(800)
Add: Profit of Bluebonnet shared to Amber	
(HK$1,320 million – HK$250 million + HK$40 million) x 80%	888
Profit attributable to Amber	2,088

Answer 3

In accordance with the Disclosure Initiative (Amendments to HKAS 7 *Statement of Cash Flows*), which became effective 1 January 2017, an entity is required to provide disclosures that enable users of financial statements to evaluate changes in liabilities arising from financing activities, including both changes arising from cash flows and non-cash changes.

An entity needs to disclose the following changes in liabilities arising from financing activities:

- changes from financing cash flows;
- changes arising from obtaining or losing control of subsidiaries or other businesses;
- the effect of changes in foreign exchange rates;
- changes in fair values; and
- other changes.

An entity can fulfil the above disclosure requirement by providing reconciliation between the opening and closing balances in the statement of financial position for liabilities arising from financing activities.

Such reconciliation intends to provide sufficient information to enable users of the financial statements to link items included in the reconciliation to the statement of financial position and the statement of cash flows.

With reference to the information provided relating to the Group, in fulfilling such disclosure requirements in HKAS 7, it is necessary to reconcile the beginning and ending balances of the following liabilities from financing activities:

- The new long-term borrowings during the year, with non-cash changes as the foreign exchange movements; and
- The lease liabilities relating to renting the warehouse and distribution centres recognised under HKFRS 16 *Leases*.

* * * END OF SECTION A * * *

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer 4(a)

Balance due from Strawberry Company Limited ("SCL")

I disagree with Matt's comment – loss allowance should be recorded even though the outstanding balance as of 31 March 2021 was fully settled subsequent to year end.

Under HKFRS 9 para. 5.5.17, an entity shall measure expected credit losses of a financial instrument in a way that reflects:

(a) an unbiased and probability-weighted amount that is determined by evaluating a range of possible outcomes;

(b) the time value of money; and

(c) reasonable and supportable information that is available without undue cost or effort at the reporting date about past events, current conditions, and forecasts of future economic conditions.

Even though the receivable was fully settled subsequent to the year-end date, the balance is past due and SCL is not totally risk free; based on a probability-weighted calculation from a range of possible outcomes, there is bound to be some loss allowance.

Balance due from Fig Tree Republic (FTR)

I disagree with Matt's comments that no loss allowance is to be recorded for the receivable outstanding from FTR.

Even if management did not know about FTR's status before the year end, FTR is not totally risk free.

Following HKFRS 9 para. 5.5.17, based on a probability-weighted calculation from a range of possible outcomes, there is bound to be some loss allowance.

As this is a probability-weighted calculation, it does not depend on management's subjective expectations based on historical practice.

According to HKAS 10 *Events after the Reporting Period* para. 9(b)(i), the bankruptcy of a customer that occurs after the reporting period usually confirms that the customer was credit-impaired at the end of the reporting period.

Therefore, unless there is other evidence indicating the bankruptcy was due to factors that were not already in existence at 31 March 2021, JOY would need to reassess the loss allowance to be recorded and adjust the balance as of 31 March 2021 accordingly.

Answer 4(b)

I disagree with Matt's proposal for the reasons set out below.

The decline in fair value of the machineries does not necessarily lead to impairment loss being recognised. This is because under HKAS 36 *Impairment of Assets* para. 59, impairment loss should only be recognised if and only if the recoverable amount of an asset is less than its carrying amount.

"Recoverable amount" is the higher of fair value less cost of disposal and value in use. So, it is not conclusive as to whether an impairment loss would arise without estimating the value in use, unless JOY intends to sell the machineries in the near future.

Therefore, JOY should not recognise an impairment loss in its financial statements, unless value in use is estimated to be lower than carrying amount.

Answer 4(c)

Based on the requirements under HKAS 10 para. 14, JOY shall not prepare its 31 March 2021 financial statements on a going concern basis given management determines, after the reporting period but before the financial statements are authorised for issue, that it has no realistic alternative but to cease trading.

This is regardless of the fact that the determination was not made until after the year end.

In making its assessment, when management is aware of material uncertainties related to events or conditions that may cast significant doubt upon JOY's ability to continue as a going concern, JOY shall disclose those uncertainties (HKAS 1 (Revised) *Presentation of Financial Statements* para. 25).

When JOY does not prepare financial statements on a going concern basis, it shall disclose that fact together with the basis on which it prepared the financial statements and the reason why it is not regarded as a going concern (HKAS 1 (Revised) para. 25).

Answer 5(a)

For the purposes of impairment assessment, goodwill acquired in a business combination shall be allocated to each of the acquirer's cash-generating units ("CGU"), or groups of CGU, that is expected to benefit from the synergies of the combination.

Each unit or groups of CGUs to which the goodwill is so allocated shall:

(a) represent the lowest level within the entity at which the goodwill is monitored for internal management purposes; and

(b) not be larger than an operating segment as defined by HKFRS 8 *Operating Segments* before aggregation.

It is mentioned in the draft consolidation financial statements of ENR that the goodwill arises from the synergies between BDL and ENR’s fried chicken business.

As a result, it would appear to be more appropriate to allocate the goodwill across the two businesses at least as opposed to BDL alone.

Assuming each outlet is a separate CGU, if internal management is monitoring the goodwill by individual shop units, then ENR would need to allocate the goodwill to the individual shops under BDL and ENR's fried chicken business.

ENR is presenting its operating segment information by cities in addition to by types of products sold. It would be not appropriate to allocate the goodwill solely to BDL as a whole because its business is all over Asia – which is larger than an operating segment.

Answer 5(b)

A financial asset shall be measured at amortised cost if both of the following conditions are met:

(a) the financial asset is held within a business model whose objective is to hold financial assets in order to collect contractual cash flows; and

(b) the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

We are told that the loan is held within a business model whose objective is to hold financial assets in order to collect the contractual cash flows.

The contractual cash flows of the loan receivable could be seen as being an instrument that has a fixed interest rate and an instrument that has a variable interest rate. These are payments of principal and interest on the principal amount outstanding as long as the interest reflects consideration for the time value of money, for the credit risk associated with the instrument during the term of the instrument, and for other basic lending risks and costs, as well as a profit margin.

Therefore, such an instrument can have cash flows that are solely payments of principal and interest on the principal amount outstanding. The cap may reduce cash flow variability by setting a limit on the variable interest rate.

On this basis, the loan shall be measured at amortised cost.

The fact that the loan is collateralised does not in itself affect the analysis of whether the contractual cash flows are solely payments of principal and interest on the principal amount outstanding, although it may affect the assessment of expected credit loss.

Alternatively, ENR may, at initial recognition, irrevocably designate the financial asset as measured at fair value through profit or loss if doing so eliminates or significantly reduces a measurement or recognition inconsistency that would otherwise arise from measuring assets or liability or recognising the gains and losses on them on different bases.

<u>Answer 5(c)</u>

According to para. 3 of HKAS 20 *Accounting for Government Grants and Disclosure of Government Assistance* ("HKAS 20"), government grants are assistance by the government in the form of transfers of resources to an entity in return for past or future compliance with certain conditions relating to the operating activities of the entity.

According to para. 7 of HKAS 20, government grants shall not be recognised until there is reasonable assurance that:

a) an entity will comply with the conditions attached to them; and

b) the grants will be received.

Once a government grant is recognised, any related contingent liability or contingent asset is treated in accordance with HKAS 37 *Provisions, Contingent Liabilities and Contingent Assets* (HKAS 20 para. 11).

Government grants shall be recognised in profit or loss on a systematic basis over the periods in which the entity recognises as expenses the related costs for which the grants are intended to compensate (HKAS 20 para. 12).

Grants related to income are presented as part of profit or loss, either separately or under a general heading such as "Other income"; alternatively, they are deducted in reporting the related expense (HKAS 20 para. 29).

<u>Once-off subsidy of HK$200,000</u>

The subsidy satisfies the definition of being a government grant that is to be accounted for under HKAS 20.

ENR, the licence holder, is only required to keep holding on to the licence and to maintain the relevant premises in business on 1 January 2021 and when the submission was made.

As of 31 March 2021, assuming ENR did not close down any of its businesses when it made the application, the entity has already complied with the conditions attached and there is reasonable assurance that the grant will be received as a result.

Therefore, the government grant receivable of HK$200,000 should be recognised with the corresponding credit to profit or loss immediately as an income (i.e. in the fiscal year 31 March 2021), with disclosure on the nature and extent of government grants recognised to ensure that its effect is clearly understood.

There is no specification of what "related expenses" the subsidy aims to compensate, and, therefore, the amount would be presented under a general heading such as "other income" in profit or loss.

If it turns out that ENR did close down the relevant businesses before its application, then it would not be eligible for the grant and should not record the grant receivable.

Subsidy equivalent to 50% of monthly wages

The subsidy satisfies the definition of being a government grant that is to be accounted for under HKAS 20.

Assuming ENR did not make anyone redundant during the subsidy period of January-March 2021, it appears there is reasonable assurance that ENR could meet the conditions.

Therefore, the government grant receivable amounting to 50% of wages should be recognised with the corresponding credit to profit or loss immediately for the portion that corresponds to wages that were already incurred (i.e. up to 31 March 2021).

This subsidy aims to compensate ENR for wages. Subject to accounting policies already adopted for government grants related to income, ENR may present the compensation under a general heading such as "other income" in profit or loss, or deduct against the related expense.

Disclosure (including nature and extent of government grants recognised, and unfulfilled conditions) should be made to ensure that its effect is clearly understood.

If it turns out that ENR did make someone redundant between January-March 2021, it would not be eligible for the grant and should not record the grant receivable.

Answer 6(a)

Integrated reporting includes both financial and non-financial information, providing greater context for the company's performance. It encourages integrated thinking at the board level to enable the company to make better decisions.

An ESG report usually only includes the company's ESG considerations.

The board has overall responsibility for the company's ESG strategy and reporting. The board is responsible for evaluating and determining the company's ESG-related risks and ensuring that appropriate and effective ESG risk management and internal control systems are in place.

Answer 6(b)

Both Joan and Jill have to comply with the fundamental principles of integrity, objectivity, professional competence and due care, confidentiality, and professional behaviour as set out in 100.5 of the Code of Ethics for Professional Accountants (the Code).

However, it appears Jill's behaviour is unethical.

A certified public accountant should be straightforward and honest in all professional and business relationships. Integrity also implies fair dealing and truthfulness.

In the company's dealing with its employees in Cambodia, it appears that BL is not dealing with them fairly and in truth when they are underpaid and tied to the company because they cannot afford to repay the loan. The omission of the disclosure of such incidence would be misleading.

By focusing only on whether the financial statements would be qualified by the auditors, Jill is showing that either she did not realise the requirement to disclose/explain (i.e. is being incompetent), or that her objectivity is questionable when she aims to hide the event from being disclosed – especially when her husband is overseeing the operations in Cambodia.

Under Appendix 27 of the Main Board Listing Rules, an entity is required to provide general disclosure of the policies and compliance with relevant laws and regulations that have a significant impact on the entity relating to preventing child and forced labour. This falls under "comply or explain" provisions, and if the issuer does not report on one or more of those provisions, it must provide reasons in its ESG report.

Also, unless exempt, a Hong Kong company is required by Schedule 5 of the Hong Kong Companies Ordinance to prepare a business review in its directors' report consisting of environmental and social information. This requires an account of the company's key relationships with its employees (amongst others) that have a significant impact on the company and on which the company's success depends.

The company should not keep quiet about the bad news on its ESG performance from the ESG report. It is a Reporting Principle that the company must give a balanced picture of its ESG performance. The company should consider whether the entities or operations have a material ESG impact, and, if so, its information and data should be disclosed in the ESG report. Any challenges should be disclosed and explained, preferably with plans for improvement.

As Jill is involved in the oppression of the workers in Cambodia, a reasonable and informed third party after weighing all the specific facts and circumstances available at that time would likely reach an adverse conclusion about Jill or the company's reputation. Her behaviour is not professional.

Since Jill is the supervisor of Joan, Jill's dismissal of Joan's concerns may pose intimidation threat upon Joan, causing Joan's professional judgement and decision to be compromised. If that is the case, Joan's level of professional competence and due care might be called into question.

Joan may consider escalating her findings and Jill's response to a higher level of management/ authorities or seeking legal advice on the issues she faced.

* * * END OF EXAMINATION PAPER * * *